

in value enormously as the area had developed. Everything seemed to be going well until it came time to renegotiate a lease between cousins. Then and only then did family members discover how distant one group of cousins had grown from another, even though they lived barely a mile away from one another.

“I had no idea they felt so badly treated,” said one of the cousins.

One part of the family had managed the boatyard for 30 years. Other parts felt left out. When it came time to renegotiate important leases, the cousins who had been out of the business took their opportunity. They seized control of the boatyard. The trouble was, after so many years away from it, they no longer had the skills or tools to operate it successfully. After a few years, the family business—which had never had a mortgage against it before—was deep in debt, while the cousins with the necessary expertise struggled to make a go of it in a new location.

This is the sort of situation soft structures are designed to prevent. Soft structures give family members a chance to talk. They force communication and conflict resolution. There are no guarantees. But at least soft structures give a family a place, time, and forum for confronting disagreements.

GETTING INVOLVED

But let’s begin by asking: What sort of family do you have? What kind do you want? What are you trying to achieve? And how do you want to govern yourselves and manage your money? You really can’t move ahead without answering these questions. You can answer them precisely, in writing. Or tacitly. But they must be answered. Otherwise, you won’t know what kind of hard and soft structures you need.

This is the mistake most people make. Instead of addressing the hard questions about who they are and what they are trying to accomplish, they go to see a lawyer—an estate planner, for instance. The estate planner sends them in a direction, which may or may not be appropriate. He naturally favors measurable objectives and naturally guides the family toward solutions with the biggest payoff.